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Amendment to Standard

Accounting and Reporting



Financial Reporting Council

February 2026

Amendments to FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* and FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime*

Adapted formats

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Financial Reporting Council

February 2026

Amendments to FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* and FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime*

Adapted formats

Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities regime – Adapted formats amends accounting standards. It is issued by the Financial Reporting Council, as a prescribed body, for application in the United Kingdom and Republic of Ireland.

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Overview

- (i) The FRC's overriding objective in setting accounting standards is to enable users of accounts to receive high-quality understandable financial reporting proportionate to the size and complexity of the entity and users' information needs.

Amendments to FRS 102 and FRS 105 – Adapted formats

- (ii) In April 2024, the IASB published IFRS 18 *Presentation and Disclosure in Financial Statements*, which replaced IAS 1 *Presentation of Financial Statements*.
- (iii) Company law gives certain entities the option to adapt one of the balance sheet formats and/or one of the profit and loss account formats. FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* sets out the specific formats to be used when an entity chooses this option; these requirements were based on IAS 1.
- (iv) As a result, it was necessary to make these amendments to FRS 102 to reflect the replacement of IAS 1 with IFRS 18. These amendments do not impact entities which do not choose to adapt one of the balance sheet formats and/or one of the profit and loss account formats.
- (v) Furthermore, following feedback from stakeholders, amendments have also been made in order to make limited clarifications to the *Periodic Review 2024 amendments* published in March 2024. These amendments affect Section 9 *Consolidated and Separate Financial Statements* and Section 13 *Inventories* of FRS 102, and Section 10 *Inventories* of FRS 105 *The Financial Reporting Standard applicable to the Micro-entities Regime*.

***Amendments to FRS 102 *The Financial Reporting Standard*
applicable in the UK and Republic of Ireland***

Amendments to Section 1

Scope

1 The following paragraphs set out the amendments to Section 1 *Scope* (inserted text is underlined).

2 Paragraph 1.36 is amended as follows:

1.36 In March 2024 the FRC issued *Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and other FRSs – Periodic Review 2024*; in February 2026 the FRC issued *Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Adapted formats*, which amended paragraphs 9.2, 9.3, 9.11, 9.26A and 9.27A, inserted paragraphs 9.3A and 9.3B, and deleted paragraph 13.14 (together, the ‘*Periodic Review 2024 amendments*’).

3 A sub-heading and paragraphs 1.71 to 1.73 are inserted as follows:

Adapted formats

1.71 In February 2026 the FRC issued *Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Adapted formats*.

1.72 Amendments were made to this FRS to amend the requirements for classifying assets and liabilities as current or non-current when choosing to adapt one of the balance sheet formats, including the associated glossary definitions. An entity shall apply paragraphs 4A.8 to 4A.19 for accounting periods beginning on or after 1 January 2027. Early application is permitted. If an entity applies these amendments to an accounting period beginning before 1 January 2027 it shall disclose that fact, unless it is a small entity in the Republic of Ireland, in which case it is encouraged to disclose that fact.

1.73 Amendments were made to this FRS to amend the presentation requirements when choosing to adapt one of the balance sheet formats and/or one of the profit and loss account formats. An entity shall apply the amendments other than paragraphs 4A.8 to 4A.19 for accounting periods beginning on or after 1 January 2027. Early application is permitted, provided that paragraphs 4A.8 to 4A.19 are also applied. If an entity applies these amendments to an accounting period beginning before 1 January 2027 it shall disclose that fact, unless it is a small entity in the Republic of Ireland, in which case it is encouraged to disclose that fact.

Amendments to Section 1A

Small Entities

- 4 The following paragraphs set out the amendments to Section 1A *Small Entities* (inserted text is underlined, deleted text is struck through).

Appendix A Guidance on adapting the balance sheet formats to Section 1A

- 5 The name of the appendix is amended as follows:

Appendix A to Section 1A

~~Guidance on adapting~~ Adapting the balance sheet formats

- 6 Paragraph 1AA.3 is amended as follows (the sequentially numbered footnote in this paragraph is not presented here and is unchanged by this amendment):

1AA.3 A small entity choosing to apply paragraph 1B(1) of Schedule 1 to the Small Companies Regulations¹⁸ and adapt one of the balance sheet formats shall, as a minimum, include in its statement of financial position line items that present the following, distinguishing between those items that are ~~current~~ current and those that are ~~non-current~~ non-current:

- (a) **property, plant and equipment**;
- (b) **investment property** carried at **fair value** through **profit or loss**;
- (c) **intangible assets** other than goodwill;
- ~~(cA) goodwill~~;
- (d) **financial assets** (excluding amounts shown under (e), (f), (j) and (k));
- (e) investments in **associates**;
- (f) investments in **jointly controlled entities**;
- (g) **biological assets** carried at cost less accumulated **depreciation** and impairment;
- (h) biological assets carried at fair value through profit or loss;
- (i) **inventories**;
- (j) trade and other receivables;
- (k) **cash** and **cash equivalents**;
- (l) trade and other payables;
- (m) **provisions**;
- (n) **financial liabilities** (excluding amounts shown under (l) and (m));
- (o) **liabilities** and **assets** for **current tax**;
- (p) **deferred tax liabilities** and **deferred tax assets** (classified as non-current);
- (q) **non-controlling interest**, presented within **equity** separately from the equity attributable to the **owners** of the **parent**; and
- (r) equity attributable to the owners of the parent.

- 7 Paragraph 1AA.3A is inserted as follows:

1AA.3A In order to comply with the requirement of paragraph 1AA.3 to distinguish between those items that are current and those that are non-current, a small entity choosing to apply paragraph 1B(1) of Schedule 1 to the Small Companies Regulations shall present **current assets** and **non-current assets**, and **current liabilities** and **non-current liabilities**, as separate classifications in its statement of financial position. A small entity choosing to apply paragraph 1B(1) of Schedule 1 to the Small Companies Regulations shall apply paragraphs 4A.8 to 4A.19 when classifying liabilities as current or non-current.

- 8 Paragraph 1AA.4 is amended as follows (the sequentially numbered footnote in this paragraph is not presented here and is unchanged by this amendment):

1AA.4 A small entity choosing to apply paragraph 1B(1) of Schedule 1 to the Small Companies Regulations¹⁹ and adapt one of the balance sheet formats shall also disclose, either in the statement of financial position or in the notes, the following sub-classifications of the line items presented:

- (a) property, plant and equipment in classifications appropriate to the small entity;
- (b) **goodwill** and other intangible assets; ~~[Deleted]~~
- (c) investments, showing separately shares and loans;
- (d) trade and other receivables, showing separately amounts due from **related parties** and amounts due from other parties;
- (e) trade and other payables, showing separately amounts payable to trade suppliers and amounts payable to related parties; and
- (f) classes of equity, such as called up share capital, share premium, retained earnings, revaluation reserve, fair value reserve and other reserves.

- 9 Paragraph 1AA.6 is deleted as follows:

~~1AA.6 In order to comply with the requirement to distinguish between those items that are current and those that are non-current a small entity shall present **current assets** and **non-current assets**, and **current liabilities** and **non-current liabilities**, as separate classifications in its statement of financial position. [Moved to paragraph 1AA.3A and amended]~~

- 10 A sub-heading and paragraph 1AA.7 are inserted as follows:

Disclosures

1AA.7 In accordance with paragraph 8.5, a small entity shall disclose **material accounting policy** information. Such information may include its choice to apply paragraph 1B(1) of Schedule 1 to the Small Companies Regulations and adapt one of the balance sheet formats.

Appendix B *Guidance on adapting the profit and loss account formats to Section 1A*

- 11 The name of the appendix is amended as follows:

Appendix B to Section 1A

~~Guidance on adapting~~ Adapting the profit and loss account formats

- 12 Paragraph 1AB.3 is amended as follows (the sequentially numbered footnote in this paragraph is not presented here and is unchanged by this amendment):

1AB.3 A small entity choosing to apply paragraph 1B(2) of Schedule 1 to the Small Companies Regulations²² and adapt one of the profit and loss account formats shall, as a minimum, include in its income statement line items that present the following amounts for the period:

- (a) **revenue**;
- (b) ~~finance costs~~operating expenses;
- ~~(bA) operating profit or loss~~;
- (c) share of the profit or loss of investments in **associates** (see Section 14 *Investments in Associates*) and **jointly controlled entities** (see Section 15 *Investments in Joint Ventures*) accounted for using the equity method;
- ~~(cA) profit or loss before financing and taxation (except as set out in paragraph 1AB.5)~~;
- ~~(cB) finance costs~~;
- (d) profit or loss before taxation;
- (e) **tax expense** excluding tax allocated to **other comprehensive income** or equity; and
- (f) profit or loss.

- 13 Paragraph 1AB.5 is inserted as follows:

1AB.5 If an entity presents within operating profit, finance income and/or finance expenses that do not relate to providing financing to customers, it shall not present the line item set out in paragraph 1AB.3(cA).

- 14 A sub-heading and paragraph 1AB.6 are inserted as follows:

Disclosures

1AB.6 In accordance with paragraph 8.5, a small entity shall disclose **material accounting policy** information. Such information may include the classification of items in the income statement, or its choice to apply paragraph 1B(2) of Schedule 1 to the Small Companies Regulations and adapt one of the profit and loss account formats.

Amendments to Section 4

Statement of Financial Position

15 The following paragraphs set out the amendments to Section 4 *Statement of Financial Position* (inserted text is underlined, deleted text is struck through).

16 Paragraph 4.2A is amended as follows:

4.2A An entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations and adapt one of the balance sheet formats shall apply the requirements set out in the Appendix *Adapting the balance sheet formats* to Section 4 in addition to the requirements set out in this section., ~~as a minimum, include in its statement of financial position line items that present the following, distinguishing between those items that are **current** and those that are **non-current**:~~

- ~~(a) **property, plant and equipment**;~~
- ~~(b) **investment property** carried at **fair value** through **profit or loss**;~~
- ~~(c) **intangible assets**;~~
- ~~(d) **financial assets** (excluding amounts shown under (e), (f), (j) and (k));~~
- ~~(e) investments in **associates**;~~
- ~~(f) investments in **jointly controlled entities**;~~
- ~~(g) **biological assets** carried at cost less accumulated **depreciation** and impairment;~~
- ~~(h) biological assets carried at fair value through profit or loss;~~
- ~~(i) **inventories**;~~
- ~~(j) trade and other receivables;~~
- ~~(k) **cash** and **cash equivalents**;~~
- ~~(l) trade and other payables;~~
- ~~(m) **provisions**;~~
- ~~(n) **financial liabilities** (excluding amounts shown under (l) and (m));~~
- ~~(o) liabilities and assets for **current tax**;~~
- ~~(p) **deferred tax liabilities** and **deferred tax assets** (classified as non-current);~~
- ~~(q) **non-controlling interest**, presented within equity separately from the equity attributable to the **owners** of the **parent**; and~~
- ~~(r) equity attributable to the owners of the parent.~~

17 Paragraphs 4.2B to 4.2D are deleted as follows:

4.2B ~~An entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations shall also disclose, either in the statement of financial position or in the **notes**, the following sub-classifications of the line items presented:~~

- ~~(a) property, plant and equipment in classifications appropriate to the entity;~~
- ~~(b) intangible assets and **goodwill** in classifications appropriate to the entity;~~
- ~~(c) investments, showing separately shares and loans;~~

- ~~(d) trade and other receivables showing separately amounts due from **related parties**, amounts due from other parties, prepayments and accrued income;~~
 - ~~(e) inventories, showing separately amounts of inventories:

 - ~~(i) held for sale in the ordinary course of **business**;~~
 - ~~(ii) in the process of production for such sale; and~~
 - ~~(iii) in the form of materials or supplies to be consumed in the production process or in the rendering of services.~~~~
 - ~~(f) trade and other payables, showing separately amounts payable to trade suppliers, payable to related parties, deferred income and accruals; and~~
 - ~~(g) classes of equity, such as share capital, share premium, retained earnings, revaluation reserve, fair value reserve and other reserves.~~[Moved to paragraph 4A.6]
- 4.2C ~~The descriptions used in paragraphs 4.2A and 4.2B, and the ordering of items or aggregation of similar items, may be amended according to the nature of the entity and its transactions, to provide information that is relevant to an understanding of the entity's financial position, providing the information given is at least equivalent to that required by the balance sheet format had it not been adapted.~~[Moved to paragraph 4A.3]
- 4.2D ~~In order to comply with the requirement to distinguish between those items that are current and those that are non-current an entity shall present current and **non-current assets**, and current and **non-current liabilities**, as separate classifications in its statement of financial position.~~[Moved to paragraph 4A.5 and amended]

Appendix Adapting the balance sheet formats to Section 4

- 18 The title (not underlined), introductory text and paragraphs 4A.1 to 4A.19 are inserted as follows:

Appendix to Section 4 **Adapting the balance sheet formats**

This appendix is an integral part of Section 4

- 4A.1 As set out in paragraph 4.1, an entity shall present its **financial position** at the end of the **reporting period** in a **statement of financial position** (which is referred to as the balance sheet in the **Act**). Section 4 *Statement of Financial Position* sets out the information that shall be presented in the statement of financial position. The requirements of Section 4 apply whether or not an entity chooses to apply paragraph 1A(1) of Schedule 1 to the **Regulations** (or, where applicable, the **LLP Regulations**) and adapt one of the balance sheet formats.
- 4A.2 This appendix sets out the additional requirements which apply only to an entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations and adapt one of the balance sheet formats.
- 4A.3 The descriptions used in paragraphs 4A.4 and 4A.6, and the ordering of items or aggregation of similar items, may be amended according to the nature of the entity and its transactions, to provide information that is relevant to an understanding of the entity's financial position, providing the information given

is at least equivalent to that required by the balance sheet format had it not been adapted.

Information to be presented in the statement of financial position

4A.4 An entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations and adapt one of the balance sheet formats shall, as a minimum, include in its statement of financial position line items that present the following, distinguishing between those items that are current and those that are non-current:

- (a) **property, plant and equipment**;
- (b) **investment property** carried at **fair value** through **profit or loss**;
- (c) **intangible assets** other than **goodwill**;
- (d) **goodwill**;
- (e) **financial assets** (excluding amounts shown under (f), (g), (k) and (l));
- (f) investments in **associates**;
- (g) investments in **jointly controlled entities**;
- (h) **biological assets** carried at cost less accumulated **depreciation** and **impairment**;
- (i) biological assets carried at fair value through profit or loss;
- (j) **inventories**;
- (k) trade and other receivables;
- (l) **cash** and **cash equivalents**;
- (m) trade and other payables;
- (n) **provisions**;
- (o) **financial liabilities** (excluding amounts shown under (m) and (n));
- (p) liabilities and assets for **current tax**;
- (q) **deferred tax liabilities** and **deferred tax assets** (classified as non-current);
- (r) **non-controlling interest**, presented within **equity** separately from the equity attributable to the **owners** of the **parent**; and
- (s) equity attributable to the owners of the parent.

4A.5 In order to comply with the requirement of paragraph 4A.4 to distinguish between those items that are current and those that are non-current, an entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations shall present **current assets** and **non-current assets**, and **current liabilities** and **non-current liabilities**, as separate classifications in its statement of financial position.

4A.6 An entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations shall also disclose, either in the statement of financial position or in the **notes**, the following sub-classifications of the line items presented:

- (a) property, plant and equipment in classifications appropriate to the entity;
- (b) intangible assets other than goodwill in classifications appropriate to the entity;

- (c) investments, showing separately shares and loans;
- (d) trade and other receivables, showing separately amounts due from **related parties**, amounts due from other parties, prepayments and accrued income;
- (e) inventories, showing separately amounts of inventories:
 - (i) held for sale in the ordinary course of **business**;
 - (ii) in the process of production for such sale; and
 - (iii) in the form of materials or supplies to be consumed in the production process or in the rendering of services;
- (f) trade and other payables, showing separately amounts payable to trade suppliers, payable to related parties, deferred income and accruals; and
- (g) classes of equity, such as share capital, share premium, retained earnings, revaluation reserve, fair value reserve and other reserves.

Disclosure

- 4A.7 In accordance with paragraph 8.5, an entity shall disclose **material accounting policy** information. Such information may include its choice to apply paragraph 1A(1) of Schedule 1 to the Regulations and adapt one of the balance sheet formats.

Current and non-current liabilities

- 4A.8 The following paragraphs provide further guidance to an entity applying the glossary definition of current liabilities.

Normal operating cycle

- 4A.9 Some current liabilities, such as trade payables and some accruals for employee and other operating costs, are part of the working capital used in an entity's normal operating cycle. An entity classifies such items as current liabilities even if they are due to be settled more than 12 months after the reporting period. The same normal operating cycle applies to the classification of the entity's assets and liabilities. When the entity's normal operating cycle is not clearly identifiable, it is assumed to be 12 months.

Held primarily for the purpose of trading or due to be settled within 12 months

- 4A.10 Other current liabilities are not settled as part of the normal operating cycle, but are due for settlement within 12 months after the reporting period or held primarily for the purpose of trading. Examples are bank overdrafts, and the current portion of non-current financial liabilities, dividends payable, income taxes and other non-trade payables. Financial liabilities that provide financing on a long-term basis (ie are not part of the working capital used in the entity's normal operating cycle) and are not due for settlement within 12 months after the reporting period are non-current liabilities, subject to paragraphs 4A.12 to 4A.14.
- 4A.11 An entity classifies its financial liabilities as current when they are due to be settled within 12 months after the reporting period, even if:
- (a) the original term was for a period longer than 12 months; and
 - (b) an agreement to refinance, or to reschedule payments, on a long-term basis is completed after the reporting period and before the financial statements are authorised for issue.

Right to defer settlement for at least 12 months

- 4A.12 An entity's right to defer settlement of a liability for at least 12 months after the reporting period must have substance and, as illustrated in paragraphs 4A.13 to 4A.16, must exist at the end of the reporting period.
- 4A.13 An entity's right to defer settlement of a liability arising from a loan arrangement for at least 12 months after the reporting period may be subject to the entity complying with conditions specified in that loan arrangement (hereafter referred to as 'covenants'). For the purposes of applying part (d) of the definition of a current liability, such covenants:
- (a) affect whether that right exists at the end of the reporting period if an entity is required to comply with the covenant on or before the end of the reporting period. Such a covenant affects whether the right exists at the end of the reporting period even if compliance with the covenant is assessed only after the reporting period.
 - (b) do not affect whether that right exists at the end of the reporting period if an entity is required to comply with the covenant only after the reporting period.
- 4A.14 If an entity has the right, at the end of the reporting period, to roll over an obligation for at least 12 months after the reporting period under an existing loan facility, it classifies the obligation as non-current, even if it would otherwise be due within a shorter period. If the entity has no such right, the entity does not consider the potential to refinance the obligation and classifies the obligation as current.
- 4A.15 When an entity breaches a covenant of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period and before the authorisation of the financial statements for issue, not to demand payment as a consequence of the breach. The entity classifies the liability as current because, at the end of the reporting period, it does not have the right to defer its settlement for at least 12 months after that date.
- 4A.16 However, an entity classifies the liability as non-current if the lender agreed by the end of the reporting period to provide a period of grace ending at least 12 months after the reporting period, within which the entity can rectify the breach and during which the lender cannot demand immediate repayment.
- 4A.17 Classification of a liability is unaffected by the likelihood that the entity will exercise its right to defer settlement of the liability for at least 12 months after the reporting period. If a liability meets the criteria in paragraphs 4A.14 and 4A.15 for classification as non-current, it is classified as non-current even if management intends or expects the entity to settle the liability within 12 months after the reporting period, or even if the entity settles the liability between the end of the reporting period and the date the financial statements are authorised for issue.

Settlement

- 4A.18 For the purpose of classifying a liability as current or non-current, settlement refers to a transfer to the counterparty that results in the extinguishment of the liability.

4A.19 Terms of a liability that could, at the option of the counterparty, result in its settlement by the transfer of the entity's own equity instruments do not affect its classification as current or non-current if, applying Section 22 *Liabilities and Equity*, the entity classifies the option as an equity instrument, recognising it separately from the liability as an equity component of a compound financial instrument.

Amendments to Section 5

Statement of Comprehensive Income and Income Statement

19 The following paragraphs set out the amendments to Section 5 *Statement of Comprehensive Income and Income Statement* (inserted text is underlined, deleted text is struck through).

20 Paragraph 5.3A is inserted as follows:

5.3A An entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats, whether applying the single-statement or the two-statement approach, shall apply the requirements set out in Appendix A *Adapting the profit and loss account formats* to Section 5 in addition to the requirements set out in this section.

21 Paragraph 5.5A is amended as follows:

5.5A In addition (unless it chooses to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats) an entity shall include, in the statement of comprehensive income, line items that present the following amounts for the period:

- (a) Classified by nature (excluding amounts in (b)), the components of other comprehensive income recognised as part of total comprehensive income outside profit or loss as permitted or required by this FRS. An entity may present the components of other comprehensive income either:
 - (i) net of related tax effects; or
 - (ii) before the related tax effects with one amount shown for the aggregate amount of **income tax** relating to those components.
- (b) Its share of the other comprehensive income of **associates** and **jointly controlled entities** accounted for using the equity method.
- (c) Total comprehensive income.

22 Paragraphs 5.5B and 5.5C are deleted as follows:

5.5B ~~An entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats shall, as a minimum, include in its statement of comprehensive income line items that present the following amounts for the period:~~

- ~~(a) **revenue**;~~
- ~~(b) finance costs;~~
- ~~(c) share of the profit or loss of investments in associates (see Section 14 *Investments in Associates*) and jointly controlled entities (see Section 15 *Investments in Joint Ventures*) accounted for using the equity method;~~
- ~~(d) profit or loss before taxation;~~
- ~~(e) **tax expense** excluding tax allocated to items (h) and (i) below or to **equity** (see paragraph 29.27);~~
- ~~(f) as set out in paragraph 5.7E (including a column identified as **discontinued operations**) a single amount comprising the total of:~~
 - ~~(i) the post tax profit or loss of a discontinued operation; and~~

~~(ii) the post-tax gain or loss attributable to the impairment or on the disposal of the **assets** or **disposal group(s)** constituting discontinued operations.~~

~~(g) profit or loss;~~

~~(h) each item of other comprehensive income classified by nature (excluding amounts in (i));~~

~~(i) share of other comprehensive income of associates and jointly controlled entities accounted for using the equity method; and~~

~~(j) total comprehensive income.~~

~~In addition, an analysis of expenses shall be presented, either in the income statement or in the **notes to the financial statements**, which is equivalent to what would have been presented if paragraph 5.5 had been applied. [Moved to paragraph 5A.4 and amended]~~

5.5C ~~An entity may include additional line items in the income statement and amend the descriptions used in paragraph 5.5B, and the ordering of items, when this is necessary to explain the elements of financial performance, providing the information given is at least equivalent to that required by the profit and loss account format had it not been adapted. [Moved to paragraph 5A.3 and amended]~~

23 Paragraph 5.7A is deleted as follows:

5.7A ~~An entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats shall, as a minimum, include in its income statement line items that present the amounts in paragraphs 5.5B(a) to 5.5B(g), with profit or loss as the last line. The statement of comprehensive income shall begin with profit or loss as its first line and shall display, as a minimum, line items that present the amounts in paragraphs 5.5B(h) to 5.5B(j) and paragraph 5.6(b) for the period, with total comprehensive income as the last line. [Moved to paragraph 5A.6 and amended]~~

24 Paragraph 5.7C is amended as follows:

5.7C ~~The~~ Unless an entity chooses to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats, the statement of comprehensive income shall begin with profit or loss as its first line and shall display, as a minimum, line items that present the amounts in paragraphs 5.5A and 5.6(b) for the period.

25 Paragraph 5.7D is amended as follows:

5.7D ~~In~~ Unless an entity chooses to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats, in addition to the requirements of paragraphs 5.5 or 5.7, as a minimum, **turnover** ~~must shall~~ be presented on the face of the income statement (or statement of comprehensive income if presented).

26 Paragraph 5.9B is amended as follows:

5.9B [Restricted – not available outside the UK and Republic of Ireland]

Appendix A Adapting the profit and loss account formats to Section 5

- 27 The title (not underlined), introductory text and paragraphs 5A.1 to 5A.8 are inserted as follows:

Appendix A to Section 5

Adapting the profit and loss account formats

This appendix is an integral part of Section 5

- 5A.1 As set out in paragraph 5.1, an entity shall present its **total comprehensive income** for a **reporting period**, ie its financial **performance** for the reporting period, in one or two statements. Section 5 *Statement of Comprehensive Income and Income Statement* sets out the information that shall be presented in those statements and how to present it. The requirements of Section 5 apply whether or not an entity chooses to apply paragraph 1A(2) of Schedule 1 to the **Regulations** (or, when applicable, the **LLP Regulations**) and adapt one of the profit and loss account formats.
- 5A.2 This appendix sets out the additional requirements which apply only to an entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats.
- 5A.3 An entity may include additional line items in the **income statement** and/or **statement of comprehensive income** and amend the descriptions used in paragraph 5A.4, and the ordering of items, when this is necessary to explain the elements of financial performance, providing the information given is at least equivalent to that required by the profit and loss account format had it not been adapted.

Single statement approach

- 5A.4 An entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats shall, as a minimum, include in its statement of comprehensive income line items that present the following amounts for the period:
- (a) **revenue**;
 - (b) operating expenses, analysed using one or both of the following characteristics:
 - (i) the nature of the expenses; or
 - (ii) the function of the expenses within the entity;
 - (c) operating profit or loss;

- (d) share of the profit or loss of investments in **associates** (see Section 14 *Investments in Associates*) and **jointly controlled entities** (see Section 15 *Investments in Joint Ventures*) accounted for using the equity method;
- (e) profit or loss before financing and taxation (except as set out in paragraph 5A.5);
- (f) finance costs;
- (g) profit or loss before taxation;
- (h) **tax expense** excluding tax allocated to items (k) and (l) below or to **equity** (see paragraph 29.27);
- (i) as set out in paragraph 5.7E (including a column identified as **discontinued operations**) an amount comprising the total of:
 - (i) the post-tax profit or loss of a discontinued operation; and
 - (ii) the post-tax gain or loss attributable to the impairment or on the disposal of the **assets** or **disposal group(s)** constituting discontinued operations;
- (j) profit or loss;
- (k) each item of other comprehensive income classified by nature (excluding amounts in paragraph 5A.4(l)), with each component presented either:
 - (i) net of related tax effects; or
 - (ii) before the related tax effects with one amount shown for the aggregate amount of **income tax** relating to those components;
- (l) share of the other comprehensive income of associates and jointly controlled entities accounted for using the equity method; and
- (m) total comprehensive income.

In addition, information shall be presented, either in the income statement or in the **notes** to the **financial statements**, which is at least equivalent to what would have been presented if paragraph 1A(2) of Schedule 1 to the Regulations had not been applied.

- 5A.5 If an entity presents within operating profit, finance income and/or finance expenses that do not relate to providing financing to customers, it shall not present the line item set out in paragraph 5A.4(e).

Two-statement approach

- 5A.6 An entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats shall, as a minimum, include in its income statement line items that present the amounts in paragraphs 5A.4(a) to 5A.4(j) and paragraph 5.6(a), with profit or loss as the last line. The statement of comprehensive income shall begin with profit or loss as its first line and shall display, as a minimum, line items that present the amounts in paragraphs 5A.4(k) to 5A.4(m) and paragraph 5.6(b) for the period, with total comprehensive income as the last line.

Disclosures

- 5A.7 In accordance with paragraph 8.5, an entity shall disclose **material accounting policy** information. Such information may include the classification of items in the income statement, or its choice to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats.

5A.8 An entity choosing to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats shall, in addition to presenting revenue on the face of the income statement (or statement of comprehensive income if presented), disclose **turnover**, if not the same as revenue, in the notes to the financial statements.

Appendix *Example showing presentation of discontinued operations* to Section 5

28 The name of the Appendix is amended as follows:

Appendix B to Section 5

Example showing presentation of discontinued operations

Amendments to Section 9

Consolidated and Separate Financial Statements

29 The following paragraphs set out the amendments to Section 9 *Consolidated and Separate Financial Statements* (inserted text is underlined, deleted text is struck through).

30 Paragraph 9.2 is amended as follows:

9.2 Except as permitted or required by paragraphs 9.3 to 9.3B, a parent entity shall present consolidated financial statements in which it consolidates all its **subsidiaries** in accordance with this FRS. A parent entity need only prepare consolidated accounts under the Act if it is a parent at the reporting date.

31 Paragraph 9.3 is amended, five sequentially numbered footnotes are deleted, and a sequentially numbered footnote is inserted (subsequent footnotes are renumbered sequentially), as follows:

9.3 An A parent entity (including an intermediate parent entity) is exempt from the requirement to prepare consolidated financial statements if one or more of the following ~~cases~~ situations applies:

~~For an entity reporting under the Act, when its immediate parent is established under the law of any part of the UK^[*footnote 1] or for an entity reporting under the Companies Act 2014, when its immediate parent is established under the law of an EEA State^[*footnote 2], and provided, in each case, that the entity complies with further conditions set out in company law:~~

~~(a) The entity is a wholly owned subsidiary.~~

~~(b) The immediate parent holds 90% or more of the allotted shares in the entity and the remaining shareholders have approved the exemption.~~

~~(bA) The immediate parent holds more than 50% (but less than 90%) of the allotted shares in the entity, and notice requesting the preparation of consolidated financial statements has not been served on the entity by shareholders holding in aggregate at least 5% of the allotted shares in the entity.~~

~~For an entity reporting under the Act, when its parent is not established under the law of any part of the UK^[*footnote 3] or for an entity reporting under the Companies Act 2014, when its parent is not established under the law of an EEA State^[*footnote 4], and provided, in each case, that the entity complies with further conditions set out in company law:~~

~~(c) The entity is a wholly owned subsidiary.~~

~~(d) The parent holds 90% or more of the allotted shares in the entity and the remaining shareholders have approved the exemption.~~

~~(dA) The parent holds more than 50% (but less than 90%) of the allotted shares in the entity, and notice requesting the preparation of consolidated financial statements has not been served on the entity by shareholders holding in aggregate at least 5% of the allotted shares in the entity.~~

~~In sub-paragraphs (a) to (dA), for an entity reporting under the Act the entity is not exempt if any of its transferable securities are admitted to trading on a UK~~

~~regulated market and for an entity reporting under the *Companies Act 2014*, the entity is not exempt if any of its transferable securities are admitted to trading on a regulated market of any EEA State within the meaning of Directive 2004/39/EC.~~

~~Other situations:~~

- ~~(e)(a) The parent entity, and the group headed by it, qualify as small^[*footnote 5] and the parent entity and the group are ~~considered~~ eligible for the exemption^[*footnote 6].~~
- ~~(f)(b) All the parent entity's subsidiaries are either required to be excluded from consolidation by paragraph 9.9^[*footnote 7] or permitted to be excluded from consolidation by paragraph 9.9A.^[*footnote 8]~~
- ~~(g)(c) For ~~an a~~ parent entity not reporting under the Act, if its statutory framework does not require the preparation of consolidated financial statements.~~

~~[*footnote 1] Section 400 of the Act.~~

~~[*footnote 2] Section 299 of the *Companies Act 2014*.~~

~~[*footnote 3] Section 401 of the Act.~~

~~[*footnote 4] Section 300 of the *Companies Act 2014*.~~

~~[*footnote 5] UK entities shall refer to section 383 of the Act. Irish entities shall refer to section 280B of the *Companies Act 2014*.~~

~~[*footnote 6] UK entities shall refer to sections 384 and 399(2A) of the Act. Irish entities shall refer to sections 280B and 293(1A) of the *Companies Act 2014*.~~

~~[*footnote 7] UK entities shall refer to section 402 of the Act. Irish entities shall refer to section 301 of the *Companies Act 2014*.~~

~~[*footnote 8] UK entities shall refer to section 402 of the Act. Irish entities shall refer to section 301 of the *Companies Act 2014*.~~

- 32 Paragraphs 9.3A and 9.3B, and five sequentially numbered footnotes, are inserted as follows:

9.3A An intermediate parent entity reporting under the Act is exempt from the requirement to prepare consolidated financial statements if one or more of the following situations applies (provided in each case that the intermediate parent entity complies with further conditions set out in the relevant section of company law):

- (a) Its immediate parent is established under the law of any part of the UK^[*footnote 9] and:
 - (i) The intermediate parent entity is a wholly-owned subsidiary of that immediate parent.
 - (ii) The intermediate parent entity's immediate parent holds 90% or more of the allotted shares in the intermediate parent entity and the remaining shareholders have approved the exemption.
 - (iii) The intermediate parent entity's immediate parent holds more than 50% (but less than 90%) of the allotted shares in the intermediate parent entity, and notice requesting the preparation of consolidated financial statements has not been served on the intermediate parent entity by shareholders holding in aggregate at least 5% of the allotted shares in the intermediate parent entity.

(b) Its parent is not established under the law of any part of the UK^[*footnote 10] and:

- (i) The intermediate parent entity is a wholly-owned subsidiary of that parent.
- (ii) The intermediate parent entity's parent holds 90% or more of the allotted shares in the intermediate parent entity and the remaining shareholders have approved the exemption.
- (iii) The intermediate parent entity's parent holds more than 50% (but less than 90%) of the allotted shares in the intermediate parent entity, and notice requesting the preparation of consolidated financial statements has not been served on the intermediate parent entity by shareholders holding in aggregate at least 5% of the allotted shares in the intermediate parent entity.

The intermediate parent entity is not exempt if any of its transferable securities are admitted to trading on a UK regulated market.

[*footnote 9] Section 400 of the Act.

[*footnote 10] Section 401 of the Act.

9.3B An intermediate parent entity reporting under the *Companies Act 2014* is exempt from the requirement to prepare consolidated financial statements, whether its parent is^[*footnote 11] or is not^[*footnote 12] established under the law of an EEA State, if one or more of the following situations applies (provided in each case that the intermediate parent entity complies with further conditions set out in the relevant section of company law):

- (a) The intermediate parent entity is a wholly-owned subsidiary of that parent.
- (b) The intermediate parent entity's parent holds 90% or more of the allotted shares in the intermediate parent entity and the remaining shareholders have approved the exemption.
- (c) The intermediate parent entity's parent holds more than 50% (but less than 90%) of the allotted shares in the intermediate parent entity, and notice requesting the preparation of consolidated financial statements has not been served on the intermediate parent entity by shareholders holding in aggregate at least 5% of the allotted shares in the intermediate parent entity.

The intermediate parent entity is not exempt if any of its transferable securities are admitted to trading on a regulated market of any EEA State.^[*footnote 13]

[*footnote 11] Section 299 of the *Companies Act 2014*.

[*footnote 12] Section 300 of the *Companies Act 2014*.

[*footnote 13] Section 1377 of the *Companies Act 2014*.

33 Paragraph 9.11 is amended as follows:

9.11 Except as permitted or required by paragraphs 9.3 to 9.3B, a parent entity shall prepare consolidated financial statements that include the entity and any SPEs

that are controlled by that entity. In addition to the circumstances described in paragraph 9.5, the following circumstances may indicate that an entity controls an SPE (this is not an exhaustive list):

...

34 Paragraph 9.26A is amended as follows:

9.26A A parent that is exempt in accordance with paragraphs 9.3 to 9.3B from the requirement to present consolidated financial statements, and presents separate financial statements as its only financial statements, shall account for its investments in subsidiaries, associates and jointly controlled entities in accordance with paragraph 9.26.

35 Paragraph 9.27A is amended as follows:

9.27A A parent that uses one of the exemptions from presenting consolidated financial statements (described in paragraphs 9.3 to 9.3B) shall disclose the grounds on which the parent is exempt.

Amendments to Section 13

Inventories

36 The following paragraph sets out the amendments to Section 13 *Inventories* (deleted text is struck through).

37 Paragraph 13.14 and the associated subheading are deleted as follows:

~~Cost of inventories of a service provider~~

13.14 ~~To the extent that service providers have inventories, they measure them at the costs of their production. These costs consist primarily of the labour and other costs of personnel directly engaged in providing the service, including supervisory personnel, and attributable overheads. Labour and other costs relating to sales and general administrative personnel are not included but are recognised as expenses in the period in which they are incurred. The cost of inventories of a service provider does not include profit margins or non-attributable overheads that are often factored into prices charged by service providers.~~[Deleted]

Amendments to Section 29

Income Tax

- 38 The following paragraph sets out the amendments to Section 29 *Income Tax* (inserted text is underlined, deleted text is struck through).
- 39 Paragraph 29.23 is amended as follows:
- 29.23 An entity shall present deferred tax liabilities within provisions for liabilities and deferred tax assets within debtors, unless it has chosen to adapt its **statement of financial position** in accordance with paragraph ~~4.2A~~4A.4.

Amendments to Appendix I *Glossary*

40 The following paragraph sets out the amendments to Appendix I *Glossary* (inserted text is underlined, deleted text is struck through).

41 The following glossary terms and definitions are amended as follows:

current assets	For the <u>purposes of an entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations:</u> Assets of an entity which: (a) <u>it expects to realise, or intends to sell or consume, in its normal operating cycle;</u> (b) <u>it holds primarily for the purpose of trading;</u> (c) <u>it expects to realise within 12 months after the reporting period;</u> or (d) <u>are cash or cash equivalents, unless the asset is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.</u> For all other entities: Assets <u>Assets</u> of an entity which: (a) for an entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations, are not non-current assets; or (b) for all other entities, are not fixed assets.
current liabilities (for the purposes of an entity applying paragraph 1A(1) of Schedule 1 to the Regulations)	Liabilities of the entity which: (a) <u>which</u> it expects to settle in its normal operating cycle; (b) <u>which</u> it holds primarily for the purpose of trading; (c) <u>which</u> are due to be settled within 12 months after the reporting period; or (d) <u>for which</u> it does not have an unconditional <u>the right at the end of the reporting period</u> to defer settlement for at least 12 months after the reporting period.
non-current assets	Assets of the an <u>entity choosing to apply paragraph 1A(1) of Schedule 1 to the Regulations</u> <u>which are not current assets;</u> (a) it does not expect to realise, or intend to sell or consume, in its normal operating cycle; (b) it does not hold primarily for the purpose of trading; (c) it does not expect to realise within 12 months after the reporting period; or (d) (d) are cash or cash equivalents restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

Amendments to Appendix IV *Republic of Ireland legal references*

- 42 The following paragraph sets out the amendments to Appendix IV *Republic of Ireland legal references* (inserted text is underlined, deleted text is struck through).
- 43 The following rows are amended in the table **Section 4 Statement of Financial Position** and **Section 5 Statement of Comprehensive Income and Income Statement**:

	UK references	RoI references	
Paragraph	Act and the Regulations (unless otherwise stated)	Companies Act 2014	Other legislative reference
4.2A, 4.2B , 4.4A, and 4.7 , <u>4A.1, 4A.2 and 4A.4 to 4A.7</u>	Paragraph 1A(1) of Schedule 1 to the Regulations	Paragraph 2(2) in Section A of Part II of Schedule 3	
<u>5.3A, 5.5A, 5.5B and 5.7A 5.7C, 5.7D, 5.9B, 5A.1, 5A.2, 5A.4, and 5A.6 to 5A.8</u>	Paragraph 1A(2) of Schedule 1 to the Regulations	Paragraph 2(3) in Section A of Part II of Schedule 3	

***Amendments to FRS 105 *The Financial Reporting Standard*
applicable to the Micro-entities Regime***

Amendments to Section 1

Scope

44 The following paragraph sets out the amendments to Section 1 *Scope* (inserted text is underlined).

45 Paragraph 1.10 is amended as follows:

1.10 In March 2024 and February 2026 amendments were made to this FRS as a result of the Periodic Review 2024. A micro-entity shall apply the amendments to this FRS, as set out in *Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and other FRSs – Periodic Review 2024* and in *Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Adapted formats* (together, the ‘Periodic Review 2024 amendments’), for accounting periods beginning on or after 1 January 2026. Early application is permitted, provided that all the amendments are applied at the same time.

Amendments to Section 10

Inventories

46 The following paragraph sets out the amendments to Section 10 *Inventories* (deleted text is struck through).

47 Paragraph 10.13 and the associated subheading are deleted, as follows:

~~Cost of inventories of a service provider~~

10.13 ~~To the extent that service providers have inventories, they measure them at the costs of their production. These costs consist primarily of the labour and other costs of personnel directly engaged in providing the service, including supervisory personnel, and attributable overheads. Labour and other costs relating to sales and general administrative personnel are not included but are recognised as expenses in the period in which they are incurred. The cost of inventories of a service provider does not include profit margins or non-attributable overheads that are often factored into prices charged by service providers.~~[Deleted]

Approval by the FRC

Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Adapted formats was approved for issue by the Financial Reporting Council on 5 February 2026.

Amendments to Basis for Conclusions FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland*

Amendments to Part A – Development and overarching issues

- 1 The following amendments are made to Part A *Development and overarching issues* of the Basis for Conclusions FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (inserted text is underlined).
- 2 A sub-heading and paragraphs A.85 to A.87 are inserted as follows:

Adapted formats

- A.85 For entities choosing to apply paragraphs 1B(1) or 1B(2) of Schedule 1 to the Small Companies Regulations or the Small LLP Regulations, or paragraphs 1A(1) or 1A(2) of Schedule 1 to the Regulations or the LLP Regulations, and adapt one of the balance sheet formats and/or one of the profit and loss account formats, FRS 102 sets out the minimum line items required in the balance sheet, the statement of comprehensive income and/or the income statement. Given the FRC’s principle of seeking IFRS-based solutions, the requirements were previously based on the requirements of IAS 1 *Presentation of Financial Statements*. The provisions of Irish company law are similar to those of UK company law in this area. Appendix IV *Republic of Ireland legal references* provides further guidance.
- A.86 In April 2024, the IASB issued IFRS 18 *Presentation and Disclosure in Financial Statements* to replace IAS 1, with an effective date of 1 January 2027. The FRC therefore made a corresponding change to these IFRS-based requirements. *Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Adapted formats*, issued in February 2026, amended Section 1A, Section 4 *Statement of Financial Position* and Section 5 *Statement of Comprehensive Income and Income Statement* to reflect these changes to IFRS Accounting Standards.
- A.87 The adapted formats amendments were effective for accounting periods beginning on or after 1 January 2027 (to align with the effective date of IFRS 18), with early application permitted either:
- (a) for all the amendments (as set out in paragraphs 1.72 and 1.73); or
 - (b) for the classification amendments alone (as set out in paragraph 1.72).

Amendments to Part B – Technical issues by section

- 3 The following amendments are made to Part B *Technical issues by section* of the Basis for Conclusions FRS 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (inserted text is underlined).

B1A Section 1A Small Entities

- 4 A sub-heading and paragraph B1A.14 are inserted as follows:

Adapted formats

B1A.14 In February 2026, Appendix A *Adapting the balance sheet formats* and Appendix B *Adapting the profit and loss account formats* to Section 1A were amended to update the minimum line items required when an entity chooses to apply paragraphs 1B(1) and/or 1B(2) of Schedule 1 to the Small Companies Regulations and adapt one of the balance sheet formats and/or one of the profit and loss account formats. The considerations for these changes are the same as those set out in paragraphs B4.2 and B5.6 to B5.10.

B4 Section 4 Statement of Financial Position

- 5 Sub-headings and paragraphs B4.2 and B4.3 are inserted as follows:

Adapted formats

B4.2 In February 2026, Section 4 *Statement of Financial Position* was amended to update the minimum line items required when an entity chooses to apply paragraph 1A(1) of Schedule 1 to the Regulations and adapt one of the balance sheet formats. The minimum line items previously required had, given the FRC's principle of seeking IFRS-based solutions, been based on the requirements of IAS 1 *Presentation of Financial Statements*. Since IAS 1 was replaced by IFRS 18 *Presentation and Disclosure in Financial Statements* with effect from 1 January 2027, and IFRS 18 set out a different approach to the balance sheet, the minimum line items were changed to retain consistency. Paragraphs applicable solely to entities that choose to adapt one of the balance sheet formats were located in a new Appendix *Adapting the balance sheet formats* to Section 4.

Classification of liabilities as current or non-current

B4.3 In February 2026, Section 4 was amended to introduce guidance (in the new Appendix *Adapting the balance sheet formats*) on classifying liabilities as current or non-current for entities which choose to apply paragraph 1A(1) of Schedule 1 to the Regulations and adapt one of the balance sheet formats. These amendments were consistent with changes made to IAS 1 between 2020 and 2022. The purpose of the changes was to clarify the impact of covenants, and the right to defer payment in respect of certain financial liabilities, on the classification of liabilities as current or non-current.

B5 Section 5 Statement of Comprehensive Income and Income Statement

- 6 Paragraph B5.3 is amended as follows:

B5.3 In view of the company law requirement that turnover includes the turnover from discontinued operations, ~~the Appendix B *Example showing presentation of discontinued operations*~~ to Section 5 *Statement of Comprehensive Income and*

Income Statement sets out a practical, columnar approach to presenting this and the post-tax profit or loss on discontinued operations.

- 7 A sub-heading and paragraphs B5.6 to B5 10 are inserted as follows:

Adapted formats

- B5.6 In February 2026, Section 5 was amended to update the minimum line items required when an entity chooses to apply paragraph 1A(2) of Schedule 1 to the Regulations and adapt one of the profit and loss account formats. The minimum line items previously set out in paragraph 5.5B had, given the FRC's principle of seeking IFRS-based solutions, been based on the requirements of IAS 1 *Presentation of Financial Statements*. Since IAS 1 was replaced by IFRS 18 *Presentation and Disclosure in Financial Statements* with effect from 1 January 2027, and IFRS 18 set out a different approach to the income statement, the minimum line items were changed to retain consistency.
- B5.7 Paragraph 73 of IFRS 18 removes the requirement to present the 'profit before financing and income taxes' subtotal when an entity applies an accounting policy of classifying in the operating category income and expenses from liabilities that do not relate to the provision of financing for customers. Such an accounting policy is available under paragraph 65(a)(ii) of IFRS 18 to an entity which provides financing to customers as a main business activity, and applies to liabilities that arise from transactions that involve only the raising of finance, which do not relate to providing financing to customers. Accordingly, paragraph 5A.5 of FRS 102 removes the requirement to present the 'profit before financing and income taxes' subtotal in comparable situations, without incorporating the full category-based classification requirements of IFRS 18. It may be necessary for an entity to present an alternative subtotal when such presentation is relevant to an understanding of the entity's financial performance.
- B5.8 The 'finance costs' line item, which was previously required by FRS 102 (and by IAS 1) but which is not required by IFRS 18, was retained as one of the minimum line items in order to help meet the requirement in the Regulations for the information given to be at least equivalent to that required by the profit and loss account format had it not been adapted. Therefore, if an entity classifies any finance income or expenses within operating profit, it may be necessary to present further information in the notes, such as a summary of finance income or expenses.
- B5.9 Paragraph 5.9B applies when an entity presents operating profit, whether or not the entity has chosen to adapt one of the profit and loss account formats. It sets out that it would be inappropriate to exclude from operating profit items clearly related to operations. A list of examples is provided, which previously included profits or losses on the sale of investment property. However, IFRS 18 requires that, in certain circumstances, profits and losses on the sale of investment property are included in the investing category (and therefore outside operating profit). To avoid constraining those entities choosing to adapt one of the profit and loss account formats, profits or losses on the sale of investment property were removed from the list of examples in paragraph 5.9B. This change was not expected to impact the presentation for those entities that do not choose to adapt one of the profit and loss account formats.

B5.10 Paragraphs applicable solely to entities that choose to adapt one of the profit and loss account formats were located in a new Appendix A *Adapting the profit and loss account formats* to Section 5.

Table 1 *Exposure drafts and consultation documents*

8 The following row is inserted at the end of Table 1 *Exposure drafts and consultation documents*:

Exposure draft		Date of issue	Finalised as	Date of issue	Mandatory effective date
FRED 87	<u><i>Draft Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland – Adapted formats</i></u>	<u>Jul 2025</u>	<u><i>Amendments to FRS 102 The Financial Reporting Standard applicable in the UK and Republic of Ireland and FRS 105 The Financial Reporting Standard applicable to the Micro-entities Regime – Adapted formats</i></u>	<u>Feb 2026</u>	<u>1 Jan 2027</u>



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